IN THE SUPREME COURT OF THE STATE OF WASHINGTON

FREDERICK K. POLINDER, III, as the Executor of the Estate of LEE V. HETTERLY, *Plaintiffs/Respondents,* vs. BRAND INSULATION, INC., *Defendant/Petitioner.*	No. 102782-6 BRAND INSULATION, INC.'S MOTION FOR DISCRETIONARY REVIEW

DAVID A. SHAW, WSBA No. 08788
TYLER J. HERMSEN, WSBA No. 43665
WILLIAMS, KASTNER & GIBBS PLLC
601 Union Street, Suite 4100
Seattle, WA 98101-2380
Telephone: (206) 628-6600
Attorneys for Defendant/Petitioner Brand Insulation, Inc.

TABLE OF CONTENTS

I. IDENTITY OF PETITIONER 1

II. DECISION SOUGHT TO BE REVIEWED 1

III. ISSUE PRESENTED FOR REVIEW 1

IV. STATEMENT OF THE CASE 2

A. Plaintiff's allegations pertaining to Brand. 2

B. Respondent's claims against Brand were correctly dismissed in April 2023. 3

C. The trial court committed obvious error overturing the April 2023 Order. 8

V. ARGUMENT WHY REVIEW SHOULD BE ACCEPTED 15

A. *Maxwell* correctly applied *Condit* and it was obvious error not to follow it. 15

1. Purpose of Washington's Construction Statute of Repose. 15

2. Brand's work contributed to the construction of the ARCO Cherry Point Refinery—an improvement upon real property according to *Condit*. 18

3. *Maxwell* interpreted and applied *Condit* correctly whereas *Welch* did not. 23

B. The trial court committed obvious error by relying on inadmissible and irrelevant evidence when finding against Brand's summary judgment motion. 25

1. Mr. Johnson's testimony is irrelevant and inadmissible. 26

2. There is no authority that the legal character of an improvement upon real property changes if it is not in use. 29

C. Granting Brand's Motion for Summary Judgment renders further proceedings useless. 30

VI. CONCLUSION 31

TABLE OF AUTHORITIES

Cases

1519-1525 Lakeview Boulevard Condominium Ass'n, 144 Wn.2d 570, 29 P.3d 1249 (2001) 17, 21

Brown v. Jersey Central Power & Light Co., 163 N.J. Super. 179, 195, 394 A.2d 397 (1978) 5, 19

Cameron v. Atlantic Richfield Co., 8 Wn. App. 2d 795, 442 P.3d 31 (2019) 16

Chamberlain v. Dept. of Trans., 79 Wn. App. 212, 901 P.2d 344 (1995) 28

Condit v. Lewis Refrigeration Co., 101 Wn.2d 106, 676 P.2d 466 (1984) ..... *passim*

Davis v. Baugh Indus. Contractors, Inc., 159 Wn.2d 413, 150 P.3d 545 (2007) 17

Douchette v. Bethel Sch. Dist. No. 403, 117 Wn.2d 805, 818 P.2d 1362 (1991) 17

Hudesman v. Meriwether Leachman Assocs., 35 Wn. App. 318, 666 P.2d 937 (1983) 17

Jones v. Weyerhaeuser Co., 48 Wn. App. 894, 741 P.2d 75 (1987) 17

Lakey v. Puget Sound Energy, Inc., 176 Wn.2d 909, 296 P.3d 860 (2013) 28

Maxwell v. Atl. Richfield Co., 15 Wn. App. 2d 569, 476 P.3d 645 (2020), *review denied sub nom.*, 197 Wn.2d 1005, 483 P.3d 779 (2021) ..... *passim*

Pinneo v. Stevens Pass, Inc., 14 Wn. App. 848, 545 P.2d 1207 (1976) 21

Puente v. Resources Conservation Co. Int'l, 5 Wn. App. 2d 800, 428 P.3d 415 (2018), *review denied*, 192 Wn.2d 1021, 433 P.3d 817 (2019) 6, 7, 23

Puget Sound Energy, Inc. v. Pilchuck Contractors, Inc., 15 Wn. App. 2d 1004 (2020) (unpublished), *review denied*, 196 Wn.2d 1046, 481 P.3d 1060 (2021) 21

Smith v. Showalter, 47 Wn. App. 245, 734 P.2d 928 (1987) 21

State v. J.P., 149 Wn.2d 444, 69 P.3d 318 (2003) ... 22

State v. Thomas, 123 Wn. App. 771, 98 P.3d 1258 (2004) 27

Washburn v. Beatt Equip. Co., 120 Wn.2d 246, 840 P.2d 860 (1992) 16

Welch v. Brand Insulations, Inc., 27 Wn. App. 2d 110, 531 P.3d 265 (2023) ..... *passim*

Yakima Fruit & Cold Storage Co. v. Central Heating & Plumbing Co., 81 Wn.2d 528, 503 P.2d 108 (1972) 21

Constitutional Provisions

Wash. Nat. Gas Co. v. Tyee Const. Co., 26 Wn. App. 235, 611 P.2d 1378 (1980) 21

Statutes

RCW 4.16.300 (1967) 1, 4, 16, 30

RCW 4.16.310 (1967) 4, 16

Rules

CR 54 11

CR 60 11

RAP 2.3(b)(1) 15, 30, 31

RAP 4.2(a)(3) 15, 31

ER 402 30

ER 701 28

ER 702 27

Other Authorities

Black's Law Dictionary 1559 (9th ed. 2009) 22

I. IDENTITY OF PETITIONER

The Petitioner is Brand Insulation, Inc. ("Brand"). Brand is the sole remaining defendant in this case that is currently pending in King County Superior Court; Cause No. 21-2-16496- 6 SEA. The trial date is May 6, 2024.

II. DECISION SOUGHT TO BE REVIEWED

Brand seeks review of the Superior Court's January 2, 2024 order granting Plaintiff's Motion for Relief from a prior April 4, 2023 summary judgment order dismissing Brand and denying Brand's Motion for Summary Judgment. Appendix to Motion for Discretionary Review ("Appx.") 1624-1628.

III. ISSUE PRESENTED FOR REVIEW

Does the Washington Statute of Repose, RCW 4.16.300-.310 ("statute of repose") bar causes of action against a contractor (Brand) arising out of it having contributed to the construction of an improvement upon real property (the ARCO

Cherry Point petroleum refinery) when the cause of action was initiated decades after expiration of the six-year claim accrual period imposed by the statute?

IV. STATEMENT OF THE CASE

A. Plaintiff's allegations pertaining to Brand.

Brand was one of forty-eight defendants in this lawsuit involving product liability/negligence claims, wherein Plaintiff alleged Mr. Hetterly was exposed to asbestos and asbestos-containing products at various jobsites during his career. Appx. 1-23. Mr. Hetterly developed mesothelioma and is now deceased. Appx. 1548.

Brand's involvement in this case is limited to Mr. Hetterly's employment with Atlantic Richfield Company ("ARCO") at its Cherry Point refinery between 1971 and 1983. Appx. 110-120. He claims he was exposed to asbestos fibers from Brand's construction work installing thermal insulation at the facility, and that Brand was negligent and liable for his

asbestos-related disease. Appx. 1-23, 110-120. Brand denies these claims. Appx. 36-47.

ARCO contracted with Parsons Government Services, Inc. ("Parsons") to serve as design/build general contractor for the construction of the refinery in 1968. Appx. 121-199. Brand was the primary insulation subcontractor to Parsons on the project. Appx. 200-258; 880-1213. Brand's charge was to furnish labor, labor supervision and materials incidental to the installation of thermal insulation on various refinery components and piping pursuant to Parsons's specifications. *Id.* Brand began its construction activities shortly after executing the contract and completed its work on the ARCO refinery in 1972. Appx. 259- 264.

B. Respondent's claims against Brand were correctly dismissed in April 2023.

Brand asserted an affirmative defense based upon Washington's Construction Statute of Response, RCW

4.16.300-.310 and filed a summary judgment motion. Appx. 41, 53-337. Brand argued that Respondent's cause of action arose from Brand having constructed an improvement upon real property (the ARCO Cherry Point refinery); Brand's work completed by 1972; and Respondent's claim against Brand accrued decades after the six-year period imposed by RCW 4.16.310 for such claims. They were, therefore, time-barred.

Brand relied upon a Court of Appeals, Division Two decision that examined the same legal question and substantially similar factual record concerning Brand's construction activities at the refinery. *Maxwell v. Atl. Richfield Co.*, 15 Wn.App.2d 569, 476 P.3d 645 (2020), *review denied sub nom. Maxwell v. Brand Insulations, Inc.*, 197 Wn.2d 1005, 483 P.3d 779 (2021).[1]

In *Maxwell*, Plaintiff sued Brand (and others, including Parsons) in 2018 alleging that he had been exposed to asbestos-

[1] Referred to as *"Maxwell"* throughout this Motion.

containing insulation installed by Brand in 1971-1972 during the construction of the ARCO Cherry Point refinery. *Maxwell*, 15 Wn.App.2d at 573-574. The trial court dismissed Brown's claims against Brand at summary judgment based on the statute of repose. Plaintiff appealed. *Id.* at 574. The *Maxwell* court examined the issue under the lens of prior precedent, including the 1984 Supreme Court decision *Condit v. Lewis Refrigeration Co.*, 101 Wn.2d 106, 676 P.2d 466 (1984).[2] *Id.* at 578-579. In *Condit*, this Court distinguished between "individuals whose activities relate to construction of the improvement" (covered by the statute) from "those who service or design items within the improvement" (not covered by the statute). *Condit*, 101 Wn.2d at 110. Relying on a New Jersey case *Brown v. Jersey Central Power & Light Co.,* 163 N.J.Super. 179, 195, 394 A.2d 397 (1978), the *Condit* court adopted a test to determine whether the "improvement upon real estate" portion is satisfied

---

[2] Referred to as "*Condit* " throughout this Motion.

based on its interpretation of the statute:

> We believe our statute also should be so limited. The test suggested by the *Brown* court protects individuals who work on structural aspects of the building but not manufacturers of heavy equipment or nonintegral systems within the building. As we read the statute, this latter group was not intended to be protected.

Condit, 101 Wn.2d at 111. (emphasis added).

Concerning the "improvement upon real property" requirement, the Plaintiff had argued that questions of fact remained "as to whether Brand's insulation work involved piping and machinery within the refinery structure rather than the refinery structure itself" relying on the *Condit* decision and a prior Division One decision *Puente v. Resources Conservation Co. Int'l*, 5 Wn.App.2d 800, 428 P.3d 415 (2018), *review denied*, 192 Wn.2d 1021, 433 P.3d 817 (2019). The *Maxwell* Court correctly noted that *Condit* 's focus was on distinguishing "between persons who construct an improvement

and persons who merely install systems that are located in the improvement". *Maxwell*, 15 Wn.App.2d at 585. It held:

> Four undisputed facts support the conclusion that the Browns' claims arose from Parsons and Brand having constructed an improvement upon real property: (1) the Cherry Point refinery was an improvement upon real property, (2) Parsons was retained as the general contractor to construct the entire refinery, (3) Parsons retained Brand as a subcontractor to assist in the construction of the refinery, and (4) the Browns' claim arose from Brand's construction work on the refinery.

Id. at 584. Further, it held there were key factual differences with *Condit* and *Puente* that required the statute to apply:

> There is no indication that either Parsons or Brand manufactured or installed some independent system that was merely housed within the refinery structure. Instead, Parsons contracted to construct the entire refinery. And the entire refinery included the "columns, heat exchangers, vessel, reformers, tanks and piping in the various refinery units" that Brand subcontracted to insulate. CP at 126. Using the language of *Condit*, Parsons and Brand were "individuals whose activities relate[d] to construction of the improvement."

Id. at 585 *quoting Condit* 101 Wn.2d at 110.

Maxwell correctly recognized that Brand's construction activities contributed to the construction of an improvement upon real property; the massive ARCO Cherry Point petroleum refinery which included the "columns, heat exchangers, vessel, reformers, tanks and piping in the various refinery units" that Brand insulated. The statute of repose barred Respondent's claims because they arose from such activities.

The trial court in this case conducted oral argument on March 31, 2023 on Brand's motion for summary judgment and issued an April 4, 2023 order in Brand's favor, correctly finding that the statute of repose barred Plaintiff's claims against Brand. Appx. 678-680.

C. The trial court committed obvious error overturing the April 2023 Order.

This action continued against the remaining co-defendants following the April 4, 2023 Order. During that time,

the Court of Appeals, Division One examined the same legal question addressed by Division Two in *Maxwell* in *Welch v. Brand Insulations, Inc.,* 27 Wn.App.2d 110, 531 P.3d 265 (2023).[3]

In *Welch,* the plaintiff alleged that he was exposed to asbestos-containing pipe insulation while working at the ARCO Cherry Point refinery in the 1980s. *Id.* at 113. Brand moved for summary judgment arguing the claims were barred by the statute of repose. *Id.* at 114 . The trial court agreed, relying in part on the *Maxwell* decision. *Id.* Plaintiff then appealed. *Id.*

Faced with the same fact pattern and legal issue as *Maxwell*, Division One issued a conflicting decision on the same legal issue and reversed the trial court's summary dismissal of Plaintiff's claims against Brand.

The *Welch* court held that the *Maxwell* court engaged in an "analytical approach different from that dictated by *Condit*,"

---

[3] Referred to as "*Welch* " throughout this Motion.

claiming that *Maxwell* "reframed" the analysis and held "Brand did not satisfy its initial burden on summary judgment to establish that its activities are covered by the statute of repose" with regard to the "improvement upon real property" requirement in the statute. *Welch* 27 Wn.App.2d at 123, 127-128.

But it was not *Maxwell* that reframed the issue; it was the *Welch* court. *Condit* recognized the statute protects contractors "who contribute to the design, planning, supervision or construction of a structural improvement to real estate …" *Condit*, 101 Wn.2d at 110 *quoting Brown,* 163 N.J.Super. at 195. (emphasis added). The *Welch* court reframed the analysis to mean Brand had to establish that its construction activities contributed to a "structural improvement in the refinery." *Welch* 27 Wn.App.2d at 112 (emphasis added). Instead of recognizing that the petroleum refinery was *in toto* a structure and an improvement upon real property under *Condit*, *Welch*

exclusively focused on whether Brand's construction activities contributed "systems … which are integrally a normal part of that kind of improvement, and which are required for the structure to actually function as intended"—while failing to recognize that Brand's activities contributed to the construction of the ARCO Cherry Point refinery, a structural improvement to real property in and of itself. *Id.* at 127.

Shortly after *Welch's* publication Plaintiff filed a Motion for Relief from Order Granting Summary Judgment to Brand pursuant to CR 60 predicated on the *Welch* decision. Appx. 681- 685. On July 10, 2023, the Court issued an order concerning Plaintiff's CR 60 motion, concluding her prior order was subject to revision under CR 54; and would employ "summary judgment conventions" to address whether to change the April 4, 2023 Order in light of the *Welch* decision or, in the alternative, CR 60. Appx. 755-758. The Court also invited the parties to "submit additional evidence as they see fit." *Id.*

On re-hearing, Brand argued that *Maxwell* remained correct and must be followed, and in the alternative, dismissal is appropriate even in light of the *Welch* decision. Appx. 759-787. Brand provided supplemental evidence relating to the design specifications for the ARCO Cherry Point refinery, Brand's construction work (Appx. 880-1213), as well as a declaration from Melvin M. Sinquefield, P.E., CFEI a chemical process engineer and an expert in refinery design specifications (Appx. 788-806). This evidence demonstrated thermal insulation installed by Brand during the refinery's construction was necessary for the refinery to operate as intended. Per Mr. Sinquefield, the refinery could not function as a refinery in the absence of the insulation installed by Brand because that insulation was an integral and necessary system that comprising the refinery. Appx. 788-797.

Respondent presented no facts or evidence rebutting Brand's evidence. Appx. 1547-1564. Respondent did not

challenge Mr. Sinquefield's qualifications; nor did Respondent provide a competing qualified expert opinion concerning the "integral-ness" of thermal insulation in petrochemical refineries.

Rather, plaintiff relied on testimony from an ARCO construction project manager named Abe Johnson. Appx. 1550-51. In a prior deposition Mr. Johnson stated that insulation was "unimportant" and "most refineries can operate without insulation." Appx. 1562-63; 1234-59. However, Mr. Johnson was not an expert, Respondent did not provide any record qualifying Mr. Johnson as an expert, he admitted that he was not qualified and later explained that his testimony on that issue was theoretical only. Appx. 1582-1585. He could not identify a single refinery in the United States that did not utilize thermal insulation; it was a standard design and construction practice to insulate piping and vessels at oil refineries; and that insulation was a basic and integral component of an oil refinery. *Id.*

Mr. Johnson's testimony was an inadmissible opinion of a lay witness on an issue requiring expert testimony. Regardless, the entirety of Mr. Johnson's testimony refuted Plaintiff's position. Mr. Johnson's testimony did not create the question of fact identified by the trial court as the basis for its decision denying Brand's request for dismissal. Plaintiff also argued that some portions of the refinery where Brand installed insulation were not in use at all times, therefore an issue of fact remained whether Brand's work contributed to a system that was required for the refinery to function as intended. However, this "evidence" is irrelevant as continuous use appears nowhere in the statute or any applicable authority, including *Condit*.

The trial court entered an order January 2, 2024 granting Plaintiff's Motion for Relief from the April 4, 2023 summary judgment dismissal order and denying Brand's Motion for Summary Judgment finding "a fact finder must resolve whether Brand "contributed to the construction of a structural

improvement to real estate and those systems, ordinarily mechanical systems, such as heating, electrical, plumbing and air conditioning, which are integrally a normal part of that kind of improvement, and which are required for the structure to actually function as intended." *See Condit*, 101 Wn.2d at 110-111." Appx. 1624-1628 (emphasis in original). This finding was obvious error.

V. ARGUMENT WHY REVIEW SHOULD BE ACCEPTED

Brand seeks review on the basis that the superior court committed an obvious error that would render further proceedings useless under RAP 2.3(b)(1) and RAP 4.2(a)(3).

A. *Maxwell* correctly applied *Condit* and it was obvious error not to follow it.

1. Purpose of Washington's Construction Statute of Repose.

Washington's construction statute of repose encompasses *all* claims and causes of action *of any kind* arising from the

construction, alteration or repair of *any* improvement upon real property. *See* RCW 4.16.300 (1967).[4] Any cause of action falling under RCW 4.16.300 "which has not accrued within six years after such substantial completion of construction, or within six years after such termination of services, whichever is later, shall be barred[.] " RCW 4.16.310 (1967). Whether Washington's construction statute of repose, RCW 4.16.300-.310 bars plaintiff's claims, is a question of law. *Washburn v. Beatt Equip. Co.,* 120 Wn.2d 246, 263, 840 P.2d 860 (1992).

The underlying purpose of a statute is essential to a determination of whether it applies to a given factual scenario. *Condit*, 101 Wn.2d at 110. The Supreme Court recognized three underlying purposes of the statute of repose: 1) "it "protect[s] contractors from the possibility of being held liable for the acts

---

[4] The 1967 version of the statute of repose applies. *Cameron v. Atlantic Richfield Co.*, 8 Wn.App.2d 795, 806, 442 P.3d 31 (2019).

of others;"[5] 2) "it limits the discovery rule and avoids placing too great a burden on defendants who construct improvements upon real estate;"[6] and 3) "to prevent plaintiffs from bringing stale claims when evidence might have been lost or witnesses might no longer be available."[7] *1519-1525 Lakeview Boulevard Condominium Ass'n*, 144 Wn.2d 570, 577-78, 29 P.3d 1249 (2001).

The Supreme Court in *Davis v. Baugh Indus. Contractors, Inc.,* 159 Wn.2d 413, 419, 150 P.3d 545 (2007) recognized that the construction statute of repose was a better mousetrap to address claims arising from a contractor's construction services than the now-abandoned "completion and acceptance doctrine" because it provides "predictability and

---

[5] *Quoting Jones v. Weyerhaeuser Co.*, 48 Wn.App. 894, 899, 741 P.2d 75 (1987).

[6] *Citing Hudesman v. Meriwether Leachman Assocs.,* 35 Wn.App. 318, 321, 666 P.2d 937 (1983).

[7] *Citing Douchette v. Bethel Sch. Dist. No. 403,* 117 Wn.2d 805, 813, 818 P.2d 1362 (1991).

limit[s] contractor liability" based upon its plain statutory language whereas the former doctrine relied on several pitfalls.

But for this mousetrap to work, it must be enforced as the legislature intended. The Washington legislature recognizes a policy of protecting the construction industry from stale claims which cannot be secured by contract. The *Maxwell* decision adheres to this intent. The *Welch* decision does not.

2. Brand's work contributed to the construction of the ARCO Cherry Point Refinery—an improvement upon real property according to Condit.

The issue presented in *Condit* was whether or not a manufacturer of a conveyor assembly installed in a vegetable processing plant was protected by the statute. *Condit* 101 Wn.2d at 108. The manufacturer of the conveyor belt sought the protection of the statute of repose, arguing that *the conveyor assembly* was an "improvement upon real property" within the meaning of the statute of repose. *Id.* at 109.

The Washington Supreme Court considered the case as

one dealing with the law of fixtures in the context of real property law; an argument that was not raised to the trial court.[8] *Id.* at 109- 110. Although the *Condit* court rejected the "mechanistic" reasoning of prior decisions, vestiges of real property law remain. Relying on a New Jersey case *Brown v. Jersey Central Power & Light Co.,* 163 N.J.Super. 179, 195, 394 A.2d 397 (1978), the *Condit* court noted:

> We believe our statute also should be so limited. The test suggested by the *Brown* court protects individuals who work on structural aspects of the building but not manufacturers of heavy equipment or nonintegral systems within the building. As we read the statute, this latter group was not intended to be protected.

Condit, 101 Wn.2d at 111.

The inclusion of the word "structural" in this short quotation, has resulted in an inordinate focus on whether a defendant's work relates to some structural element of the

---

[8] That is how the manufacturer presented its case, i.e. that its conveyor assembly was a "fixture" and, therefore, real property (a "fixture"), not personal property.

improvement in order to be protected. A focus on the "structural aspect" of a building only is at odds with the quotation relied upon by the *Condit* court from *Brown.* In fact, the *Brown* court drew no such distinction in its test that was adopted by the *Condit* Court.

> As best we can perceive, the intent of the language of the statute was to protect those who contribute to the design, planning, supervision or construction of a structural improvement to real estate and those systems, ordinarily mechanical systems, such as heating, electrical, plumbing and air conditioning, which are integrally a normal part of that kind of improvement, and which are required for the structure to actually function as intended.

Id. at 110 *quoting Brown*, 163 N.J.Super at 195.

The *Brown* test distinguishes products manufactured by others and installed on or in the improvement from the construction of the improvement itself. The statute applies to work performed by contractors in constructing the improvement and does not apply to manufacturers whose products are installed in or on the improvement. The Supreme Court

recognized more than a decade after *Condit* that the "structural aspects" of construction activities discussed in *Condit* are but one of several "rational distinctions" in law between a manufacturer and contractors. *1519-1525 Lakeview Blvd. Condo. Ass'n v. Apartment Sales Corp.* 144 Wn.2d at 578-579. This focus has been reiterated time and time again. *See e.g., Yakima Fruit & Cold Storage Co. v. Central Heating & Plumbing Co.,* 81 Wn.2d 528, 503 P.2d 108 (1972) (applying the statute to "refrigeration system and equipment in a warehouse in order to modernize its use as a cold storage warehouse."); *Pinneo v. Stevens Pass, Inc.,* 14 Wn.App. 848, 545 P.2d 1207 (1976) (applying statute to a ski lift at a ski resort); *Wash. Nat. Gas Co. v. Tyee Const. Co.*, 26 Wn. App. 235, 239, 611 P.2d 1378 (1980) (applying statute to underground power lines); *Smith v. Showalter,* 47 Wn.App. 245; 734 P.2d 928 (1987) (a case which involved a fire caused by faulty wiring); *Puget Sound Energy, Inc. v. Pilchuck*

Contractors, Inc., 15 Wn. App. 2d 1004 (2020) (unpublished), *review denied*, 196 Wn.2d 1046, 481 P.3d 1060 (2021) (applying statute to gas service lines) .

It is clear that the *Brown* court and, by implication the *Condit* court, did not intend to restrict the application of a statute of repose to "structural" *components* of an improvement; nor could it because the legislative mandate—the language of the statute itself—did not include such restriction; nor was the "test" the *Condit* court borrowed from *Brown* so limited. A court's "primary duty in interpreting any statute is to discern and implement the intent of the legislature" and the starting point is always the statute's plain language and ordinary meaning. *State v. J.P.*, 149 Wn.2d 444, 450 69 P.3d 318 (2003). *Black's Law Dictionary* defines "structure" as "any construction, production, or piece of work artificially built up or composed of parts purposefully joined together." Black's Law Dictionary 1559 (9th ed. 2009). There is no doubt that the

ARCO refinery is a "structure," there is no issue of fact that Brand's construction activities contributed to its creation and Respondent's claims arose from such activities.

3. Maxwell *interpreted and applied* Condit *correctly whereas* Welch *did not.*

The *Maxwell* court focused on the undisputed facts: 1) the refinery was new construction; 2) Brand's construction activities contributed to the new construction of the refinery; and 3) Brand's work were not within an existing "improvement" but on the improvement itself. *Maxwell* at 584-585. It then then drew comparisons with *Condit* and *Puente* ultimately holding: "unlike the defendants in *Condit* and *Puente*, Brand did not merely install a new system within an existing real property improvement" and noted that the "entire refinery included the "columns, heat exchangers, vessels, reformers, tanks and piping in the various refinery units."" *Id* at 585. *Maxwell* correctly found that the "improvement upon real

property" requirement in the statute was satisfied by Brand having performed construction activities (installing insulation) on a massive oil refinery—an obvious structural improvement to real estate, a finding entirely consistent with *Condit*. *Id.*

It is the *Welch* Court that misapplied the *Condit* decision finding that Brand had to establish that its construction activities contributed to a "structural improvement in the refinery " as opposed to establishing that it contributed to the construction of the refinery itself. *Welch* 27 Wn.App.2d at 112 *compare Condit* 101 Wn.2d at 110 ("…a structural improvement to real estate…") *quoting Brown*, 163 N.J.Super. at 195.

Welch was laser focused on whether Brand presented evidence concerning whether it contributed to the construction of integral systems and ignored the first consideration under *Condit. Welch,* 27 Wn.App.2d at 127. For the proposition that Brand failed to carry its burden in summary judgment to be true

on the first *Condit* proposition, it must follow that an oil refinery cannot be "a structural improvement to real estate" because the Court found there was no dispute whether Brand's construction activities contributed to the refinery's construction. *Id.* at 114. However, the Cherry Point refinery exists, it is an improvement to real property and Brand contributed to its construction. Those essential facts are unrefuted and are the focus of *Condit*. No genuine issue of material fact remains, and for this reason alone, summary judgment dismissal in Brand's favor was and still is warranted (and was warranted in *Welch*) and it was obvious error for this trial court to find otherwise.

B. The trial court committed obvious error by relying on inadmissible and irrelevant evidence when finding against Brand's summary judgment motion.

Summary judgment in Brand's favor was warranted even if *Welch* was considered in a vacuum. Brand carried its burden of proof in summary judgment, demonstrating both *Condit* requirements as interpreted by the *Welch* court. *Welch,* 27

Wn.App.2d at 112. Respondent did not allege that Brand failed to carry its initial burden of proof in summary judgment; nor was such finding made by the trial court.

The trial court's obvious error was finding that issues of fact remained even under *Welch*. Appx. 1624-1628. The Trial Court focused on two areas: 1) that "ARCO's engineer Abe Johnson testified that refineries can operate without insulation;" 2) that the Cherry Point refinery began processing oil in 1971 and certain units at Cherry Point not being operated, while other units did operate. *Id.*

1. Mr. Johnson's testimony is irrelevant and inadmissible.

The trial court committed obvious error by finding an "issue of fact" based on the testimony of Abe Johnson. The testimony was admittedly conjecture, ultimately inadmissible and completely irrelevant.

The trial court focused on his testimony "that refineries can operate without insulation" to create an issue of fact. In the

same deposition, Johnson testified this comment was theoretical only, admits that insulation is a "basic and integral component of any completed refinery;" that he was unaware of any refinery constructed without insulation; and "you wouldn't" design a refinery without thermal insulation in his opinion. Appx. 1581-1585. His passing, theoretical statement speaks nothing about the intended function of the ARCO Cherry Point refinery. His complete testimony establishes Brand's position and does not create an issue of fact.

The trial court's position assumes Mr. Johnson was qualified to opine on these issues. The laws of thermodynamics and how they apply to refinery energy balance and heat management in process unit design elements are matters that are beyond the common understanding of lay persons, requiring expert opinion. *State v. Thomas*, 123 Wn.App. 771, 778 98 P.3d 1258 (2004); *see also* ER 702.

No attempt was made to qualify Mr. Johnson as an expert witness; nor was there any evidence he possessed the requisite foundation to opine on refinery design, heat management and energy balance issues as related to process unit requirements in order for the refinery to function as intended. ER 701(c) does not permit a lay person to opine on matters "based on scientific, technical, or other specialized knowledge within the scope of rule 702." The testimony was an inadmissible opinion of a lay person. ER 701. The testimony was unreliable, inadmissible and insufficient to create an issue of fact at summary judgment. *Lakey v. Puget Sound Energy, Inc.,* 176 Wn.2d 909, 918, 296 P.3d 860 (2013); *Chamberlain v. Dept. of Trans.*, 79 Wn. App. 212, 215- 16, 901 P.2d 344 (1995). The trial court committed obvious error finding an issue of fact based upon Mr. Johnson's testimony.

2. There is no authority that the legal character of an improvement upon real property changes if it is not in use.

Brand provided evidence that a refinery is a collection of several integrated, dependent, yet discretely differentiated systems (referred to as process units), and that each process unit requires heat management, and thermal insulation is the critical element to maintain the energy balance in these systems. Appx. 788-797. The ARCO Cherry Point refinery was intended to have multiple process units, each of which was integral to the refinery's overall intended function: to produce petroleum products (i.e. various grades of gasoline, diesel, jet fuel, lubricants, and other marketable products) to meet changing market conditions. Appx. 1548-49; 1260-1263 *see also* Appx. 788-797. This definition of a "refinery" was not contested by Respondent. Appx. 1548-49.

No authority exists that would dictate the legal character of an improvement upon real property would change in the

context of the statute of repose if it, or a portion of it, was not in use as plaintiff argued and the trial court found. There is no "use" requirement in RCW 4.16.300-.310 or in the *Condit* decision. Such argument if accepted would pragmatically render the statute itself useless as the moment a portion of an improvement upon real property is not in use because its legal character would change and the statute not apply. For example, an abandoned residential home is still an improvement upon real property even if it has not been lived in for several years. The evidence that some units in the refinery operated at different times and some did not was irrelevant, and it was obvious error for the trial court to find that such evidence created an issue of fact at summary judgment. ER 402.

C. Granting Brand's Motion for Summary Judgment renders further proceedings useless.

An obvious error warrants review when further proceedings would be useless but for the error. RAP 2.3(b)(1).

Brand is the only remaining defendant for trial. A grant of Brand's Motion for Summary Judgment would render further proceedings useless. The Court should accept review under RAP 2.3(b)(1) and RAP 4.2(a)(3). There is a clear conflict between the Division Two decision in *Maxwell* and the Division One decision in *Welch.* The trial court granted summary judgment based on *Maxwell* and, then, vacated that judgment and denied summary judgment based on *Welch.*

VI. CONCLUSION

This Court should grant discretionary review of the superior court's decision denying Brand's motion for summary judgment.

This document contains 4745 words, excluding the parts of the document exempted from the word count by RAP 18.17(b).

Respectfully submitted this 15th day of February, 2024.

WILLIAMS, KASTNER & GIBBS PLLC

/s/ *Tyler J. Hermsen, WSBA No. 43665*
Tyler J. Hermsen, WSBA No. 43665

/s/ *David A. Shaw, WSBA No. 08788*
David A. Shaw, WSBA No. 08788

601 Union Street, Suite 4100
Seattle, WA 98101-2380
Telephone: (206) 628-6600
Attorneys for Defendant/Petitioner Brand Insulation, Inc.